TMT: Infrastructure Software

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Stock Rating	**BUY** ↑ *from Hold*
Price Target	**$300.00** ↑ *from $190.00*

TR to Target	30.5%
Price (Jun. 12, 2026)	$229.90
52-Wk Range	$277.49-$102.62
Market Cap ($M)	$84,028
ADTV	3,969,988
Shares Out (M)	366
Short Interest Ratio/% Of Float	4.4%
Enterprise Value ($M)	$80,254
Cash & Equivalents ($M)	$4,759
Total Debt ($M)	$985

12 Page Document

Reasons for this report

- Rating Change
- Updating Estimates and PT
- Industry Conference Takeaways

Datadog, Inc. (DDOG)

DDOG - Off the Leash; Upgrading to Buy

We are upgrading DDOG to Buy. While the rating is consensus, it's the underlying work that points to a path higher that differentiates our call. Our recent fieldwork revealed key incremental positives. First, despite increased awareness around AI consumption, we believe urgency of AI adoption in the enterprise is significantly outweighing the urgency to optimize AI, and customers remain early in their agentic journeys. Second, increased visibility into the stability of relationships with frontier labs mitigates risk around what we see as the most likely NT risk to the bull thesis. As such, we see opportunity for continued upside momentum in shares, raise PT to $300.

Urgency of AI adoption continues to outweigh the intent to optimize it. Over the course of the quarter we have had the opportunity to attend a number of industry conferences to engage with software buyers and sellers. While headlines increasingly spotlight AI overages and the intent to optimize spend, the overwhelming narrative from our industry conversations has been about a continued push to adopt more AI. In this environment, we believe that pure consumption-model companies like DDOG are poised to benefit. We have long been constructive around DDOG's AI tailwind and ability to monetize it through the consumption model. Our recent conversations give us confidence in the durability of these trends despite recent investor questions around potential optimization.

We believe that the non-AI native cohort is in the shallow part of the S-curve for agentic adoption. Over the course of the last week at their DASH user conference we spoke with a number of large Datadog customers and partners as we sought to unpack the trends behind their recent acceleration. These conversations indicated that the non-AI native acceleration that Datadog has seen over recent quarters is being primarily driven by a strengthening enterprise sales motion, broader cross-sell of the platform, and deeper adoption of their core-three pillars supported by centralization efforts versus an agentic explosion in the enterprise. While coding agent adoption has compressed the time it takes to architect and migrate workloads onto the platform, we believe that there is room for further acceleration ahead as enterprises adopt agents that require increased telemetry data and higher sampling rates.

Increased stability with frontier labs is a key driver of our upgrade. Uncertainty around the status of the OpenAI (Private) customer relationship over the last year kept us on the sidelines as we believed that there was no real visibility into the future of a critical customer in the telemetry generation of the AI future. Recent commentary we have heard from key frontier lab customers indicates stability that we believe mitigates the most likely near-term downside risk for shares. Given the volume of telemetry data that these companies will collect, we expect the risk of optimization/migration will be an ongoing debate that will ebb and flow indefinitely, but for now, we feel more comfortable with the stability in the relationships.

Yes, valuation isn't cheap. While shares have run up significantly, we see room for continued upside in both fundamentals and shares from here as we remain in the very early stages of AI adoption in the enterprise. We believe that our biggest differentiator from Street consensus lies in the growth durability that we expect from the non-AI native cohort which supports our FY27 revenue growth expectation of 25% (vs FactSet Consensus at 20.5%). Shares currently trade at 20x our FY26 estimates on an EV/Revenue basis versus the AI accelerators group (DDOG/FROG/SNOW/MDB) at 15x and our broader infra coverage at 8x. Our $300 price target indicates that the company will be able to hold this multiple as growth momentum powers shares higher into 2027. The $300 price target equates to an EV/Revenue multiple of 20x based on our FY27 estimates.

Risks to our Thesis: Frontier labs will continue to carry optimization risk and churn risk. Physical (server/datacenter/power) constraints could limit AI expansion in the customer base. AI could increase competitiveness of less sophisticated, lower priced offerings and pressure pricing power. Premium valuation leaves little room for missteps.

SEE PAGE 10 FOR REQUIRED DISCLOSURE INFORMATION

Executive Summary

Yes, we're late to the party. We don't think it's stopping any time soon. Underwriting the logic to go higher from here.

Updated Thesis: We view Datadog as a core beneficiary of agentic AI adoption with structural tailwinds that are aligned to produce durable growth. The core pillars of the company's growth engine continue to hum along, and rapid product flywheel produces opportunities for a broadening of their influence in the software stack as enterprises look to consolidate vendors. Though we acknowledge valuation is not cheap, we believe the premium is deserved for their favorable positioning in the consumption path of AI. We believe that agentic AI adoption remains in early innings across enterprises globally, and increasing adoption of AI could accelerate growth further and push shares higher.

What Changed? Relationships with Frontier lab customers are hyper-critical in the early adoption of AI as these companies soak up a disproportionate share of the increase in telemetry data. Over the last year, we have had low visibility into the prospects of OpenAI remaining onboard amid reports of their attempts to optimize, migrate, or roll their own observability solutions. While we do not believe these outcomes are fully off the table, commentary from frontier labs in recent weeks has given us increased confidence in the stability of the relationship going forward and avoidance of a full churn. We model OpenAI's spend on DDOG to moderate over the next two years, and we expect Anthropic's (Private) spend to continue to ramp.

What Could Drive Shares Higher From Here? The recent acceleration in the non-AI-native customer base has created a significant tailwind in both the model and share price for DDOG. Our fieldwork over recent weeks has revealed two key trends under the hood that we believe could extend the acceleration the company has seen. First, we believe that the majority of the improved growth trajectory of this cohort to date has been about the improved trends in the traditional business model only partially driven by AI. The company is benefitting from enterprise demand for vendor consolidation/centralization (partially AI driven), faster implementations and migrations as a result of coding agent adoption, and increasing platform breadth owing to their enterprise GTM investments. Second, as we believe that enterprise agentic AI adoption remains in early innings, we see potential for an incremental step up in the volume of telemetry data collected and analyzed as the AI adoption curve ramps.

Unpacking the Structural Tailwind in Non-AI-Native

The non-AI-native acceleration is real, and we believe this segment is the most important driver of durable growth for DDOG. The idea that broad agentic adoption is already inflecting telemetry demand across the enterprise base, is not, in our view, what's happening yet. A nuanced view of the drivers in this segment is what lets us separate the durable part of the acceleration from the part that is pull-forward, and it's what defines the genuine upside optionality in the long-term model.

We expect the urgency to adopt AI to outweigh the urgency to optimize AI spend for the foreseeable future. Despite increasing headlines about companies blowing through their AI token budgets and calls for rationalization of AI spend, we believe that the majority of global enterprises' AI adoption remains in early innings. This has layered implications for the current and potential future drivers of the non-AI-native cohort.

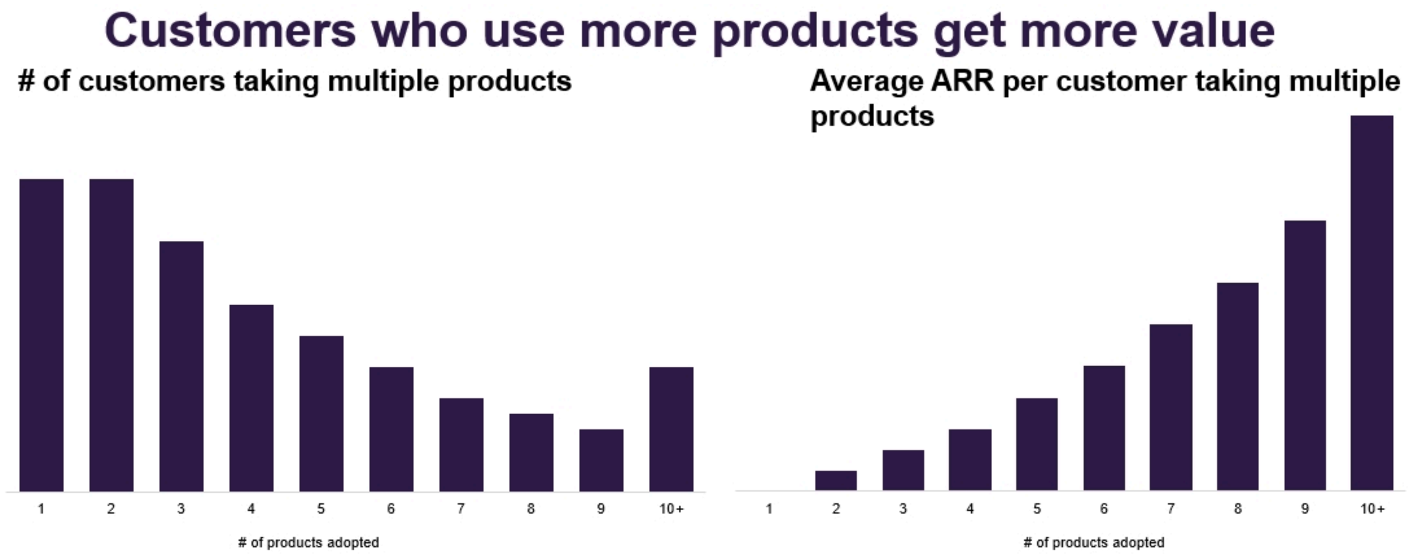
What we believe has driven the acceleration to this point:

1. Vendor Centralization, supported by AI initiatives. The effort to consolidate the sprawling vendor list in IT organizations has been a long-running objective of most enterprise software teams. AI implementation is increasing the pain of vendor sprawl and driving the need for centralization. Enterprises standing up AI programs are running into the need to centralize observability and data and that consolidation favors a broad, deep platform like Datadog. This is driving new workloads to Datadog from existing locations across the enterprise.

2. Enterprise sales execution going broader with the platform. Partially due to a positive feedback loop on the centralization point, we believe that the enterprise sales play is resonating with existing accounts adopting more modules, multi-product attach rising. We see this as executional, not thematic, and it's the most repeatable of the three. Multiple customers indicated to us that they had started to dip into new Datadog products outside of the core three pillars (Infra, APM, Logs) over the last year highlighting ease of adoption as a key strength.

3. Coding agents are compressing architecture and migration timelines. It's been well documented that coding assistants and agents are the AI use cases seeing the most early traction in the enterprise. AI-assisted code writing is accelerating the pace at which customers execute the migration and re-architecture work that drives onboarding and instrumentation. Our field work with enterprise practitioners is consistent with this timeline compression being a real, current effect. We have heard this across a variety of technologies on this quarter's conference circuit. In Datadog's case, one GSI partner told us that they are seeing log migration projects that once would have taken 12 months compressed to 8-9 months. We did not get indications of pipeline drain, but see this as the least sustainable driver of acceleration.

To us, the implication of these drivers is that we are even earlier in the true impact of agentic AI adoption than consensus currently reflects. We do think that there is a genuine case for telemetry expansion as a result of agentic adoption that has yet to play out. We categorize the implications as the pre-agentic enterprise versus the post-agentic enterprise below.



Source: Truist Securities Research

A pre-agentic enterprise that has adopted AI through third-party LLMs actually sees a relatively light impact to their Datadog bill. Yes, accelerated code creation can drive increased workloads, but the AI architecture itself is mostly call-and-response. In most cases, a user makes a contained call to an external model provider and receives a response. This is the status of AI adoption for most of the customers that we spoke with at DASH last week. They indicated that adopting coding agents *did not* meaningfully impact their Datadog consumption. In this early stage of adoption, almost all of the activity and telemetry data is occurring within the model providers' estate, hence the significant growth and importance of OpenAI and Anthropic as customers (more below).

An agentic enterprise is a web of internal activity: agents spawning subagents, chained tool calls, multi-step workflows, retries, and guardrail/review agents watching other agents. Each action is a span, a trace, a log line, a metric event. You move from a single external API call to a dense internal graph of machine-to-machine activity, inside the customer's own estate, where the observability platform lives.

Not only do these systems generate more telemetry data, because of the trust issues in "handing over the keys" to agents, we expect that enterprises will outfit AI use cases with more observability tooling as well. For example, traditionally enterprises have outfitted 20-30% of apps with APM tooling; we think that will come in closer to 90-100% for AI apps as we strive to take the human out of the loop. Often, customers will try to control their spending by sampling datasets (ingesting/analyzing only a representative segment of the data). We expect the size of the sample sets will be meaningfully larger for early agentic AI deployments.

Pulling it all together, the current acceleration rests on execution, AI-catalyzed centralization, and a slug of migration pull-forward. The "what goes more right" is that broad agentic adoption converts call-and-response into a telemetry-dense web of activity, providing a durable second leg to extend recent gains.

We See Improved Stability in OpenAI Relationship, Room for Growth with Anthropic

We perceive higher stability in the relationships with OpenAI and Anthropic at the present moment than we have over the last year. We have seen, and the stock chart would underscore, a low-visibility environment specifically concerning the OpenAI relationship. We now see improved stability against a key headline risk that would impair the bull thesis. In our base case, we expect OpenAI to moderate their spend, but not fully churn, and we expect Anthropic to continue to ramp through our FY27 estimates offsetting OpenAI downshift.

Why Frontier Labs Matter So Much: To date, the majority of AI adoption has taken place in the form of consumer and enterprise usage of frontier lab applications and APIs. These interactions take place in a call-and-response format that generates relatively little incremental telemetry data on the customer side. However, these transactions represent the addition of a full new layer of the technology stack. Effectively all of the telemetry data in that layer is being soaked up by the frontier labs at present.

This has driven a rapid swelling in telemetry consumption for these customers, a dynamic that enabled OpenAI to go from 0 to Datadog's largest customer in less than 2 years. Given Anthropic's explosive growth this year, we see them as following in a similar trajectory. With the early stage of AI adoption across enterprises globally, we believe that these customers stand to continue that consumption growth in the future. This has created a key risk for DDOG as deep financial and technical resources make these customers look more like hyperscalers (who have historically developed their infrastructure in-house) and, at the very least, increases the pricing pressure that they are able to exert on Datadog.

OpenAI and Anthropic

Over the last year Palo Alto Networks' (PANW, Buy, Siddiqui) earnings calls have stoked fears that OpenAI is churning off of Datadog for Chronosphere (acquired by Palo Alto in CQ4 2025). Even on their most recent earnings call, CEO Nikesh Arora stated "In Q3, we surpassed $200 million in ARR with the leading frontier AI lab that relies on us for observability across its most demanding training and inference clusters. We expect that to continue to grow again next quarter as they complete their migration to Chronosphere."

While this doesn't sound good for Datadog's largest customer, we came away from the DASH user conference with a different read and now expect OpenAI will maintain observability use cases across both vendors. In a fireside chat with Datadog co-founder and CTO Alexis Le-Quoc, OpenAI's Head of Product and Platform Thibault Sottiaux said Datadog was the tool his team would 'pull out of our hat' during every outage while ChatGPT ran what they believe was the largest Python deployment in the world. Further he noted that he doesn't "trust" OpenAI's internal analytics dashboards and prefers Datadog as the source of truth for live metrics like traffic, and that his team now spins up agents on top of that observability data to replace manual monitoring, set alert thresholds, and reason through the business invariants that must hold. In the event of an outage he indicated that humans are still responsible for triage and remediation rather than agents. From a partnership perspective, he noted that Datadog is a key context layer that they connect into with their customers. They see this driving value in combination with Codex because of the centralization of observability data there.

Key Quotes from OpenAI Fireside

Question	Share good and bad surprises from working with agents at the frontier?	Where and when in your day-to-day do you find observability most useful, and whether there's a particular tool you keep returning to.
Response	"One good surprise is recent. We've been rewriting a lot of code to Rust, and agents have been awesome at that. Until recently, all of ChatGPT was run on Python. I think it's the biggest deployment of Python in the world. I was shocked when I joined, and then shocked that we kept it working for another two years, **Datadog being the thing we'd pull out of our hat every time we had outages.**	"We have data analytics dashboards, but I don't trust them for some reason, and always go to Datadog. **This is the source of truth, like how much traffic are we absorbing right now. A lot of the things I used to do manually, or the team used to do manually, we then spun up agents to do the same thing**. It used to be very difficult to set up a threshold, or to do it in a deterministic fashion, and now agents kind of know the answer to that. They're able to exercise some kind of intelligence, reason through the invariants that must be true about the business, or that I, as an engineer, would expect from the system, and then alert me if something happens. You've got to pull the alerts as well. **Observability throughout the day, at any time, to ensure things are working as we intend them to, and especially when things don't, that's when we're like, what's going on."**

Source: Truist Securities Research

Anthropic's Sholto Douglas also made a fireside chat appearance at the DASH conference. Though his interview produced less Datadog-specific soundbites, he spent a good deal of time discussing the continued increases that they are striving for in agentic context horizon and the extent to which their technical organization is already handing over the keys to agents. With this in mind we see two key tailwinds for Datadog's ramp. First, long context needs comprehensive, reliable data, which we see Datadog as providing. Second, with agents picking their own tools, we think that Datadog's vast and growing universe of prebuilt integrations serves as a strong draw for increased engagement both inside Anthropic and with their agents in joint customer accounts.

The Case Against In-Sourcing

Though these organizations have the means to build just about anything, we don't see in-sourcing as a viable outcome in the near or intermediate term. In-sourcing observability is not a one-time build; it's a permanent staffing commitment. Someone has to own it, support it, and keep it current against a sprawling and ever-growing surface of integrations and SDKs… indefinitely. For organizations whose engineering backlogs are effectively infinite, and whose marginal talent is worth far more pointed at frontier research than at maintaining an internal telemetry stack, replacing a working observability platform is a project that we think loses prioritization as the companies narrow their focus and the race for enterprise adoption ramps up. The rational sequence for any such org is to apply scarce engineering capacity to its highest-value, most differentiating problems first; infrastructure that sits low in the stack is typically more protected, and we believe that despite migration fears, these organizations are less price-sensitive than the broader customer base. Taking it a step further, an environment of high talent mobility raises the cost of concentrating an operationally critical, still-human-in-the-loop incident system on internally-built software. This is key-man risk on the most sensitive part of the stack.

Company Product Strategy and Go-to-Market: Compounding Advantages Through the AI Transition

Datadog's playbook has historically been product velocity. The strategy has leaned on a rapid product release cadence, with each new product and SKU expanding the surface area of the platform and pulling customers into deeper consumption. That cadence turned Datadog from a point monitoring tool into a broad platform that customers adopt module by module. Reinforcing the flywheel is an expansive library of integrations spanning effectively the entire cloud and software ecosystem, which makes Datadog the default instrumentation layer for modern infrastructure and what we believe drives their advantage today. Because nearly every cloud service, framework, and tool a customer deploys already connects to Datadog out of the box, adoption compounds with the customer's own stack. That integration moat is the bridge between Datadog's past and its next chapter, because as the underlying stack modernizes, customers' centralization efforts will push incremental workloads and use cases through Datadog.

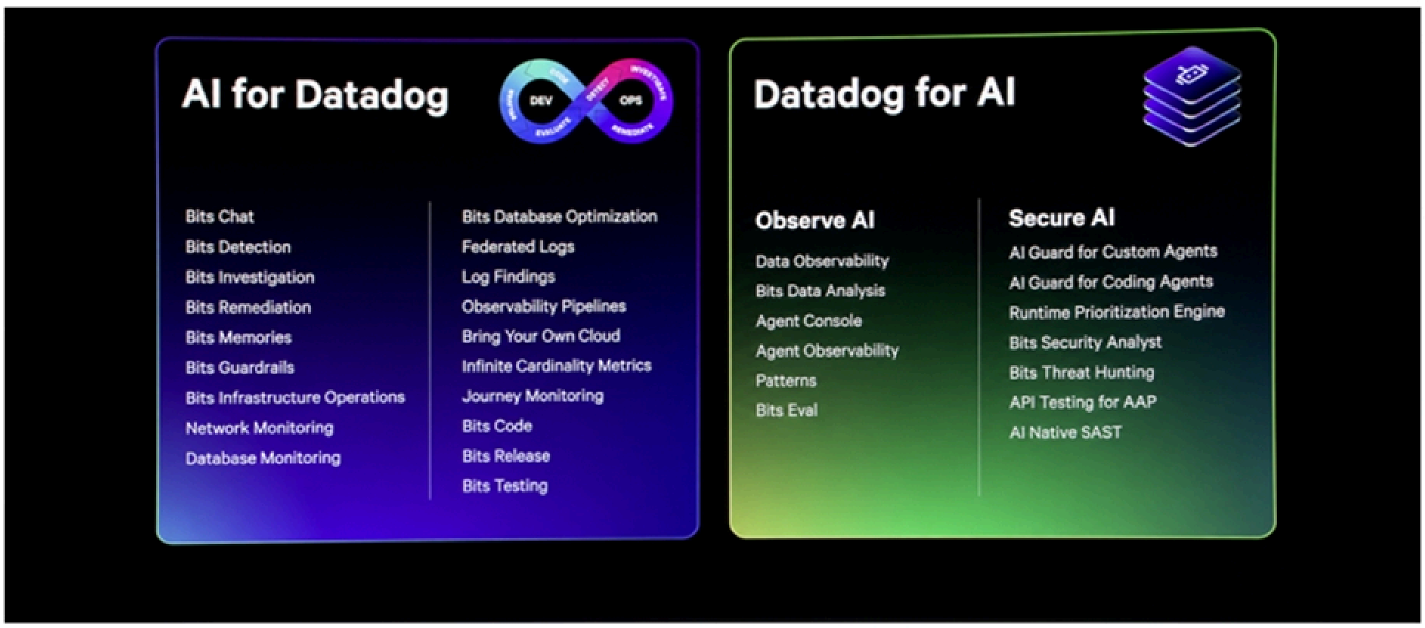
The rush to adopt AI is catalyzing demand, driving a broad-based modernization of infrastructure and architecture across the entire technology stack. Enterprise legacy-to-cloud migrations are accelerating, re-platforming applications and standing up new workloads to support AI initiatives. This matters for Datadog because its growth is aligned with cloud workloads. More cloud means more hosts, containers, and services to instrument, and that translates into more telemetry flowing through the platform. The most direct beneficiaries are Datadog's core three pillars, infrastructure monitoring, application performance monitoring, and log management, which meter that expanding footprint and deepen automatically as customers modernize. In the most recent quarter, growth re-accelerated to 32% Y/Y on broad-based strength, with management highlighting the non-AI cohort as the most impressive contributor, and multi-product adoption deepened across every tier. We view the accelerated cloud migration driving these core pillars as the foundation of the upgrade.

Beyond the core, we see the next set of S-curves emerging in lockstep, each extending the platform into adjacent markets. We see security as the next closest growth vector, leveraging Datadog's unified telemetry to correlate signals across security, infrastructure, and application data, which positions Cloud SIEM and the broader security suite as a natural extension of the logs and monitoring footprint and as a consolidation play for enterprises drowning in fragmented tools. Data monitoring is a second vector, addressing the reliability and quality of modern data pipelines as organizations grow dependent on real-time data for analytics and AI applications, an adjacency that deepens stickiness precisely as data and AI workloads converge. Multiple 7-figure customers that we spoke with at the event indicated that they were in the process of onboarding Datadog's security products currently with strong results. Data observability and analytics announcements at the DASH conference also captured the attention of practitioners, driving positive feedback from multiple SREs that we spoke with.

Beyond these core innovations, Datadog is positioning itself as the monitoring layer for the AI stack itself. The clearest proof point is that several of the world's largest AI research teams have turned to Datadog to monitor and optimize their training workloads, adopting GPU monitoring and LLM observability as those capabilities mature. The dedicated AI products remain early, but we do see a few emerging candidates. LLM Observability is furthest along, having reached its first quarter of meaningful billings contribution while riding the tracing footprint already embedded across the installed base. GPU Monitoring, now generally available with per-device visibility into utilization, memory, power, and thermals, is the offering most directly levered to the frontier-lab and training theme. Bits AI reframes monetization around AI agents that perform work on the platform rather than seats that view dashboards, a longer-dated but potentially larger model. None of these are significant needle-movers yet, but we see logic for these to form the base of the AI observability S-curve.

At DASH last week, the product announcements reflect a coordinated push into automation, agent orchestration, and cross-system control. Datadog continues to assemble a more comprehensive platform aimed at managing the full lifecycle of modern, AI-driven software systems, while at the same time driving cost effective scaling for their customers as AI takes off with features like Infinite Cardinality metrics.

Clear focus on scaling AI in DASH product announcements



Source: Company presentation

The expanding product suite is complemented by an enhanced enterprise go-to-market motion, as DDOG has pushed an evolution of its go-to-market model beyond its historical product-led, bottoms-up motion. The company has built out a more structured and segmented enterprise sales organization, spanning Strategic Enterprise, Majors, and Key Accounts, each aligned to distinct customer cohorts and sales motions. The shift emphasizes proactive, top-down engagement with large, complex organizations, supported by outbound pipeline generation, account-based marketing, and deeper technical selling capabilities. With more than half of the Fortune 500 still untapped and current enterprise spend levels remaining well below long-term potential, we see substantial and underpenetrated growth vector that could contribute in the years to come with direct sales presence increasing the company's ability to cross sell their growing product suite in the enterprise.

Taken together, Datadog is compounding a proven engine, product velocity and an integration moat, into the largest infrastructure transition in a decade. The accelerated migration to the cloud drives the durable core, the security, data, and frontier AI observability S-curves stack incremental TAM on top, and an enterprise-grade go-to-market motion is built to capture all of it. Overall, we see their corporate strategy in R&D and go-to-market as deepening the value of their core offerings while finding opportunities to extend their influence in a way that can support both durable growth and strong profitability in the years ahead.

Model and Valuation Updates

Our highest-conviction cross-sectional view in the group is that the names with a genuinely differentiated AI narrative should trade better than the broader software complex through this cycle. The four names in our coverage that meet the criteria are **DDOG, FROG (Buy), SNOW (Buy), and MDB (Buy).** DDOG is the flagship long of that cohort: the clearest AI-native logo exposure, the broadest platform, and the growth durability we lay out above. We'd frame this as a basket worth owning on the AI-native-demand theme, not as a single-name bet. The cohort shares a common driver being on the right side of where incremental AI workloads and data gravity accumulate and DDOG is a direct expression of it.

In our revised base case model we are increasing our FY26 and FY27 revenue estimates indicating the durability that we see in the growth numbers that the company is putting up.

We are not shrugging off the AI native churn risk. In our base case we assume that OpenAI's DDOG spend decreases by half from FYE25 to FYE27. At the same time we assume that Anthropic's scaling can offset that and drive flat consumption for the pair between FY26 and FY27. We believe that these assumptions could prove to be conservative as the companies focus their engineering resources on pushing the model frontier.

Given the assumptions above, we believe that our biggest differentiator from Street consensus lies in the growth durability that we expect from the non-AI native cohort, which we have at 25% in FY26 and 23% in FY27. In considering the product drivers of this growth, we believe that increased log volume and density that stems from AI adoption as well as increased APM spend (Datadog called out APM as their fastest growing core-pillar on the 4Q25 earnings call) will be the primary supports in the non-AI-native group.

Shares currently trade at 20x our FY26 estimates on an EV/Revenue basis versus the AI accelerators group (DDOG/FROG/SNOW/MDB) at 15x and our broader infra coverage at 8x. Our $300 price target indicates that the company will be able to hold this multiple as growth momentum powers shares higher into 2027. The $300 price target equates to an EV/Revenue multiple of 20x based on our FY27 estimates.

DDOG

	Bear Case	Base Case	Bull Case
FY27 Estimated Total Revenue ($MIL)	$5,058	$5,429	$6,152
LT FCF Margin	32%	32%	36%
Target Price	$140	$300	$347
%∆ From Current Price	*-39%*	*30%*	*51%*

Source: Truist Securities Research

Key Risks to Monitor

Customer-concentration headline risk. Despite our increased confidence in relationship stability, we still see OpenAI or Anthropic headline risk as the greatest near-term threat. Any rumor or disclosure of optimization, migration, or in-sourcing at OpenAI or Anthropic. Upcoming commentary on their Q3 outlook and the Q3 call itself will be key to watch for the OpenAI relationship.

Migration pull-forward fades faster than the second leg arrives. If the finite, coding-agent-accelerated migration slug crests before genuine agentic-telemetry expansion picks up, the non-AI-native acceleration decelerates and the AI wave narrative is exposed as partly pull-forward. Signal to watch: NRR by cohort; deceleration in new-logo instrumentation and multi-product attach; any softening in the non-AI-native expansion rate.

Physical constrains throttle AI adoption. Physical constraints around the AI supply chain continue to make headlines (Chips/ Datacenters/Power). If physical constraints limit the amount of AI that can be delivered to enterprises through frontier labs or via agentic adoption growth could be limited in the near term in a way that strong execution cannot overcome.

Hyperscaler/Cloud-Native pressure on AI telemetry. The scenario where incremental AI/agentic telemetry is captured by cheaper, hyperscaler-native or cloud-native tooling, and/or the hyperscalers flex pricing power on a platform whose workloads they host but that they don't use as intensively.

High Valuation and de-rating mechanic itself. Even an in-line guide can be punished at a peak multiple. The setup is asymmetric: positive surprise is continued acceleration which is largely hoped for; negative surprises are varied and the multiple amplifies them. Our upgrade acknowledges potential for steep penalties in the event of missed execution, but our fieldwork gives us confidence in the company's ability to sustain momentum.

TRUIST

Truist Securities

Datadog, Inc. Income Statement
($ in millions, except per share)

Miller Jump
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	FY24A	FY25A	1Q26 Mar-26	2Q26E Jun-26	3Q26E Sep-26	4Q26E Dec-26	FY26E	1Q27E Mar-27	2Q27E Jun-27	3Q27E Sep-27	4Q27E Dec-27	FY27E
Revenue	**2,684**	**3,427**	1006.4	1074.0	1107.9	1151.5	**4,340**	1219.8	1316.7	1407.1	1485.4	**5,429**
Y/Y % Change	**26.1%**	**27.7%**	*32.2%*	*29.9%*	*25.1%*	*20.8%*	**26.6%**	*21.2%*	*22.6%*	*27.0%*	*29.0%*	**25.1%**
Q/Q % Change			*5.6%*	*6.7%*	*3.2%*	*3.9%*		*5.9%*	*7.9%*	*6.9%*	*5.6%*	
Cost of Revenue	**483.2**	**651.1**	199.2	204.1	210.5	218.8	**832.5**	229.3	247.5	264.5	279.3	**1020.6**
Gross Profit	**2,201**	**2,776**	807.2	869.9	897.4	932.7	**3,507**	990.5	1069.1	1142.6	1206.1	**4,408**
Gross Margin	***82.0%***	***81.0%***	*80.2%*	*81.0%*	*81.0%*	*81.0%*	***80.8%***	*81.2%*	*81.2%*	*81.2%*	*81.2%*	***81.2%***
Research & Development	**758.3**	**1038.7**	300.4	327.6	332.4	345.4	**1305.7**	365.9	395.0	422.1	445.6	**1628.7**
% of Revenue	***28.2%***	***30.3%***	*29.8%*	*30.5%*	*30.0%*	*30.0%*	***30.1%***	*30.0%*	*30.0%*	*30.0%*	*30.0%*	***30.0%***
Y/Y % Change	**20.8%**	**37.0%**	*33.0%*	*24.4%*	*23.3%*	*23.3%*	**25.7%**	*21.8%*	*20.6%*	*27.0%*	*29.0%*	**24.7%**
Q/Q % Change			*7.2%*	*9.1%*	*1.5%*	*3.9%*		*5.9%*	*7.9%*	*6.9%*	*5.6%*	
Sales & Marketing	**629.0**	**793.1**	235.3	257.8	254.8	276.4	**1024.2**	292.7	316.0	330.7	349.1	**1288.5**
% of Revenue	***23.4%***	***23.1%***	*23.4%*	*24.0%*	*23.0%*	*24.0%*	***23.6%***	*24.0%*	*24.0%*	*23.5%*	*23.5%*	***23.7%***
Y/Y % Change	**25.7%**	**26.1%**	*31.9%*	*28.9%*	*30.3%*	*26.1%*	**29.1%**	*24.4%*	*22.6%*	*29.8%*	*26.3%*	**25.8%**
Q/Q % Change			*7.4%*	*9.6%*	*-1.1%*	*8.4%*		*5.9%*	*7.9%*	*4.6%*	*5.6%*	
General & Administrative	**139.6**	**176.2**	48.106	53.7	55.4	57.6	**214.8**	61.0	65.8	70.4	74.3	**271.4**
% of Revenue	***5.2%***	***5.1%***	*4.8%*	*5.0%*	*5.0%*	*5.0%*	***4.9%***	*5.0%*	*5.0%*	*5.0%*	*5.0%*	***5.0%***
Y/Y % Change	**11.0%**	**26.2%**	*17.3%*	*28.2%*	*19.2%*	*23.0%*	**21.9%**	*26.8%*	*22.6%*	*27.0%*	*29.0%*	**26.4%**
Q/Q % Change			*2.7%*	*11.6%*	*3.2%*	*3.9%*		*5.9%*	*7.9%*	*6.9%*	*5.6%*	
Total Operating Expenses	**1,527**	**2,008**	583.7	639.0	642.6	679.4	**2,545**	719.7	776.8	823.2	868.9	**3,189**
Operating Income	**674.2**	**768.0**	**223.5**	**230.9**	**254.8**	**253.3**	**962.5**	**270.8**	**292.3**	**319.4**	**337.2**	**1219.7**
Operating Margin	***25.1%***	***22.4%***	***22.2%***	***21.5%***	***23.0%***	***22.0%***	***22.2%***	***22.2%***	***22.2%***	***22.7%***	***22.7%***	***22.5%***
Other Income	**153.4**	**177.0**	52.7	40.0	40.0	37.5	**170.2**	35.0	35.0	35.0	35.0	**140.0**
Pre-Tax Income (Non-GAAP)	**827.6**	**945.0**	276.1	270.9	294.8	290.8	**1132.7**	305.8	327.3	354.4	372.2	**1359.7**
Taxes (Non-GAAP)	**-173.8**	**-198.5**	-58.0	-56.9	-61.9	-61.1	**-237.9**	-64.2	-68.7	-74.4	-78.2	**-285.5**
Tax Rate	***21%***	***21%***	*21%*	*21%*	*21%*	*21%*	***21%***	*21%*	*21%*	*21%*	*21%*	***21%***
Net Income (Non-GAAP)	**653.8**	**746.6**	218.2	214.0	232.9	229.7	**894.8**	241.6	258.6	280.0	294.0	**1074.2**
Net Margin	***24.4%***	***21.8%***	***21.7%***	***19.9%***	***21.0%***	***20.0%***	***20.6%***	***19.8%***	***19.6%***	***19.9%***	***19.8%***	***19.8%***
Non-GAAP EPS - Basic & Diluted	**$ 1.82**	**$ 2.06**	$ 0.62	$ 0.58	$ 0.61	$ 0.60	**$ 2.41**	$ 0.62	$ 0.66	$ 0.71	$ 0.74	**$ 2.74**
Y/Y % Change	**37.4%**	**13.0%**	*33.5%*	*27.0%*	*12.1%*	*0.4%*	**16.8%**	*1.0%*	*14.3%*	*16.6%*	*24.5%*	**14.1%**
Q/Q % Change			*3.8%*	*-6.1%*	*5.4%*	*-2.3%*		*4.4%*	*6.3%*	*7.5%*	*4.3%*	
Weighted Average Shares for EPS	**358.6**	**362.3**	353.3	369.0	381.0	384.6	**372.0**	387.2	390.0	392.7	395.4	**391.3**

Source: Company reports and Truist Securities estimates

TRUIST
Truist Securities

Datadog, Inc. Balance Sheet
($ in millions, except per share)

Miller Jump
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	FY24A	FY25A	1Q26 Mar-26	2Q26E Jun-26	3Q26E Sep-26	4Q26E Dec-26	FY26E	1Q27E Mar-27	2Q27E Jun-27	3Q27E Sep-27	4Q27E Dec-27	FY27E
Assets:												
Cash and Cash Equivalents	$4,189.1	$4,474.8	$4,758.6	$4,903.6	$5,100.1	$5,606.6	$5,606.6	$5,925.2	$6,023.0	$6,191.2	$6,797.9	$6,797.9
Accounts Receivable, net	598.9	741.3	680.4	751.8	701.7	831.6	831.6	745.4	848.5	813.0	990.3	990.3
Deferred Contract Costs	56.1	76.0	81.7	96.6	99.7	103.6	103.6	118.9	128.3	137.1	144.7	144.7
Prepaid Expenses and Other Current Assets	67.0	90.2	104.5	89.8	75.8	78.8	78.8	55.0	108.9	95.2	67.0	67.0
Total Current Assets	**4,911.1**	**5,382.3**	**5,625.2**	**5,841.8**	**5,977.2**	**6,620.5**	**6,620.5**	**6,844.5**	**7,108.8**	**7,236.6**	**7,999.9**	**7,999.9**
Operating Lease Assets	172.5	214.7	213.3	213.3	213.3	213.3	213.3	213.3	213.3	213.3	213.3	213.3
Property and Equipment, Net	227.0	338.1	378.9	405.4	432.6	460.9	460.9	476.8	493.9	512.2	531.5	531.5
Goodwill	360.4	530.6	540.5	540.5	540.5	540.5	540.5	540.5	540.5	540.5	540.5	540.5
Intangible Assets, net	3.7	15.0	14.9	14.8	14.7	14.6	14.6	14.5	14.4	14.3	14.2	14.2
Deferred Contract Acquisition Costs, Noncurrent	86.6	126.7	136.3	161.1	166.2	172.8	172.8	198.3	214.0	228.7	241.5	241.5
Restricted Cash	-	-	-	-	-	-	-	-	-	-	-	-
Other Noncurrent Assets	24.1	36.6	42.9	42.9	42.9	42.9	42.9	42.9	42.9	42.9	42.9	42.9
Total Assets	**$5,785.3**	**$6,643.8**	**$6,952.0**	**$7,219.8**	**$7,387.5**	**$8,065.5**	**$8,065.5**	**$8,330.7**	**$8,627.8**	**$8,788.5**	**$9,583.7**	**$9,583.7**
Liabilities and Stockholder's Equity:												
Accounts Payable	$107.7	$148.8	$174.8	$249.4	$187.1	$243.1	$243.1	$254.8	$316.3	$235.1	$356.8	$356.8
Accrued Expenses and Other Current Liabilities	127.1	209.6	208.5	221.8	228.8	269.4	269.4	249.3	269.1	287.5	303.5	303.5
Operating Lease Liability	32.0	39.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4
Deferred Revenue	961.9	1,193.6	1,231.2	1,210.6	1,200.9	1,542.0	1,542.0	1,573.2	1,531.7	1,476.7	1,829.4	1,829.4
Convertible Senior Notes, Net, Current	634.0	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	**$1,862.7**	**$1,591.4**	**1,655.9**	**1,723.2**	**1,658.2**	**2,096.0**	**$2,096.0**	**2,118.6**	**2,158.4**	**2,040.8**	**2,531.1**	**$2,531.1**
Operating Lease Liability, LT	196.9	256.2	259.2	259.2	259.2	259.2	259.2	259.2	259.2	259.2	259.2	259.2
Convertible Senior Notes, net	979.3	983.4	984.5	984.5	984.5	984.5	984.5	984.5	984.5	984.5	984.5	984.5
Deferred Revenue, Noncurrent	22.7	68.7	50.9	37.4	37.1	47.7	47.7	48.7	47.4	45.7	56.6	56.6
Other Noncurrent Liabilities	9.4	11.9	13.3	13.3	13.3	13.3	13.3	13.3	13.3	13.3	13.3	13.3
Total Liabilities	**3,071.0**	**2,911.6**	**2,963.8**	**3,017.6**	**2,952.3**	**3,400.6**	**3,400.6**	**3,424.3**	**3,462.8**	**3,343.5**	**3,844.7**	**3,844.7**
Redeemable Convertible Preferred Stock	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total Stockholder's Equity (Deficit)	**2,714.4**	**3,732.2**	**3,988.2**	**4,202.2**	**4,435.1**	**4,664.9**	**4,664.9**	**4,906.5**	**5,165.0**	**5,445.0**	**5,739.1**	**5,739.1**
Total Liabilities and Stockholder's Equity	**$5,785.3**	**$6,643.8**	**$6,952.0**	**$7,219.8**	**$7,387.5**	**$8,065.5**	**$8,065.5**	**$8,330.7**	**$8,627.8**	**$8,788.5**	**$9,583.7**	**$9,583.7**

Source: Company reports, Truist Securities Estimates

TRUIST
Truist Securities

Datadog, Inc. Cash Flow Statement
($ in millions, except per share)

Miller Jump
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	FY24A	FY25A	1Q26 Mar-26	2Q26E Jun-26	3Q26E Sep-26	4Q26E Dec-26	FY26E	1Q27E Mar-27	2Q27E Jun-27	3Q27E Sep-27	4Q27E Dec-27	FY27E
Operating Activities:												
Net Income (Loss)	183.7	107.7	52.6	214.0	232.9	229.7	729.2	241.6	258.6	280.0	294.0	1,074.2
Depreciation and Amortization	54.9	55.8	17.9	21.5	22.2	23.0	84.6	24.4	26.3	28.1	29.7	108.6
Amortization of Deferred Contract Costs	25.7	66.8	20.3	-	-	-	20.3	-	-	-	-	-
Stock Based Compensation	570.3	750.7	196.8	-	-	-	196.8	-	-	-	-	-
Noncash Lease Expense	27.3	35.5	9.1	-	-	-	9.1	-	-	-	-	-
Provision for Accounts Receivable Allowance	14.8	17.0	5.0	-	-	-	5.0	-	-	-	-	-
Loss on Disposal of Property & Equipment	1.7	2.1	1.1	-	-	-	1.1	-	-	-	-	-
Other	(21.3)	(38.9)	(10.8)	-	-	-	(10.8)	-	-	-	-	-
Changes in Operating Assets/Liabilities net Acquisition Effects	13.3	53.5	42.6	(42.6)	(9.3)	305.1	295.9	92.9	(143.6)	(93.5)	331.9	187.7
Cash Flow from Operating Activities	**870.6**	**1,050.1**	**334.6**	**192.9**	**245.8**	**557.9**	**1,331.2**	**358.8**	**141.3**	**214.6**	**655.7**	**1,370.4**
Investing Activities:												
Purchases of Property and Equipment	(34.7)	(49.6)	(11.4)	(12.1)	(12.5)	(13.0)	(49.0)	(12.2)	(13.2)	(14.1)	(14.9)	(54.3)
Capitalized Software Development Costs	(60.8)	(85.8)	(34.2)	(35.8)	(36.9)	(38.3)	(145.2)	(28.1)	(30.3)	(32.4)	(34.2)	(124.9)
Cash Paid for Acquisitions, net of Cash Acquired	(7.1)	(118.0)	(10.7)	-	-	-	(10.7)	-	-	-	-	-
Purchases of Marketable Securities	(2,653.2)	(3,599.8)	(1,305.0)	-	-	-	(1,305.0)	-	-	-	-	-
Sales of Marketable Securities	624.6	31.1	(0.1)	-	-	-	(0.1)	-	-	-	-	-
Maturities of Marketable Securities	1,394.4	2,487.7	1,046.4	-	-	-	1,046.4	-	-	-	-	-
Other Investing Activities	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow from Investing Activities	**(736.8)**	**(1,334.5)**	**(314.8)**	**(47.9)**	**(49.4)**	**(51.3)**	**(463.4)**	**(40.3)**	**(43.5)**	**(46.4)**	**(49.0)**	**(179.2)**
Free Cash Flow (CFFO - CapEx- Capitalized Software)	**775.1**	**914.7**	**289.1**	**145.0**	**196.4**	**506.5**	**1,137**	**318.6**	**97.9**	**168.2**	**606.6**	**1,191**
FCF Margin	*28.9%*	*26.7%*	*28.7%*	*13.5%*	*17.7%*	*44.0%*	*26.2%*	*26.1%*	*7.4%*	*12.0%*	*40.8%*	*21.9%*
Financing Activities:												
Proceeds from the Exercise of Stock Options	7.4	6.4	9.7	-	-	-	9.7	-	-	-	-	-
Proceeds from ESPP	43.7	56.8	-	-	-	-	-	-	-	-	-	-
Payroll Taxes Related to ESPP	-	-	-	-	-	-	-	-	-	-	-	-
Repayment of Convertible Note	(196.8)	(635.5)	-	-	-	-	-	-	-	-	-	-
Payments of Offering Costs	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow from Investing Activities	**787.1**	**(572.5)**	**9.7**	**-**	**-**	**-**	**9.7**	**-**	**-**	**-**	**-**	**-**
FX Effects	(4.2)	11.2	(4.5)	-	-	-	(4.5)	-	-	-	-	-
Net Change in Cash	**916.6**	**(845.7)**	**25.1**	**145.0**	**196.4**	**506.5**	**873.0**	**318.6**	**97.9**	**168.2**	**606.6**	**1,191.3**

Source: Company reports, Truist Securities Estimates

Company Description

Datadog, Inc. (DDOG) engages in the creation of monitoring and analytics platform for developers, information technology operations teams, and business users. Its platform integrates and automates infrastructure monitoring, application performance monitoring and log management to provide real-time observability of its customers' entire technology stack. These capabilities help DevOps teams avoid downtime, resolve performance issues, and ensure customers are getting the best user experience. The company was founded by Olivier Pomel and Alexis Lê-Quôc on June 4, 2010 and went public on September 18, 2020. The company is headquartered in New York, NY.

Investment Thesis

We rate shares of Datadog as Buy. We view Datadog as a core beneficiary of agentic AI adoption with structural tailwinds that are aligned to produce durable growth. The core pillars of the company’s growth engine continue to hum along, and rapid product flywheel produces opportunities for a broadening of their influence in the software stack as enterprises look to consolidate vendors. Though we acknowledge valuation is not cheap, we believe the premium is deserved for their favorable positioning in the consumption path of AI. We believe that agentic AI adoption remains in early innings across enterprises globally, and increasing adoption of AI could accelerate growth further and push shares higher.

Valuation and Risks

Valuation: Our $300 price target is based on our DCF analysis. Our 10-year DCF analysis assumes a free cash flow (FCF) CAGR of 17% (35% FCF margins in terminal model). This equates to 25.3x EV/CY26E revenue, relative to the group average(excl. PLTR) trading at 8.2x.

Risks to our rating and price target:

Downside Risks: Customer concentration and optimization risk among frontier lab customers, including potential migration or insourcing, remain key near-term concerns. There is also risk that recent growth reflects pull-forward from accelerated migrations rather than durable expansion. Additionally, physical constraints across chips, data centers, and power could limit AI adoption, while hyperscaler-native offerings may pressure pricing and share. Finally, elevated valuation increases sensitivity to any execution misstep or moderation in growth.

Companies Mentioned in This Note

Datadog, Inc. (DDOG, $229.90, Buy, Miller Jump)
JFrog Ltd. (FROG, $77.74, Buy, Miller Jump)
MongoDB, Inc. (MDB, $342.80, Buy, Miller Jump)
Palo Alto Networks, Inc. (PANW, $279.62, Buy, Junaid Siddiqui)
Snowflake, Inc. (SNOW, $232.78, Buy, Miller Jump)
Anthropic (Private)
OpenAI (Private)

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I, Miller Jump , hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company(ies) and its (their) securities. I also certify that I have not been, am not, and will not be receiving direct or indirect compensation in exchange for expressing the specific recommendation(s) in this report.

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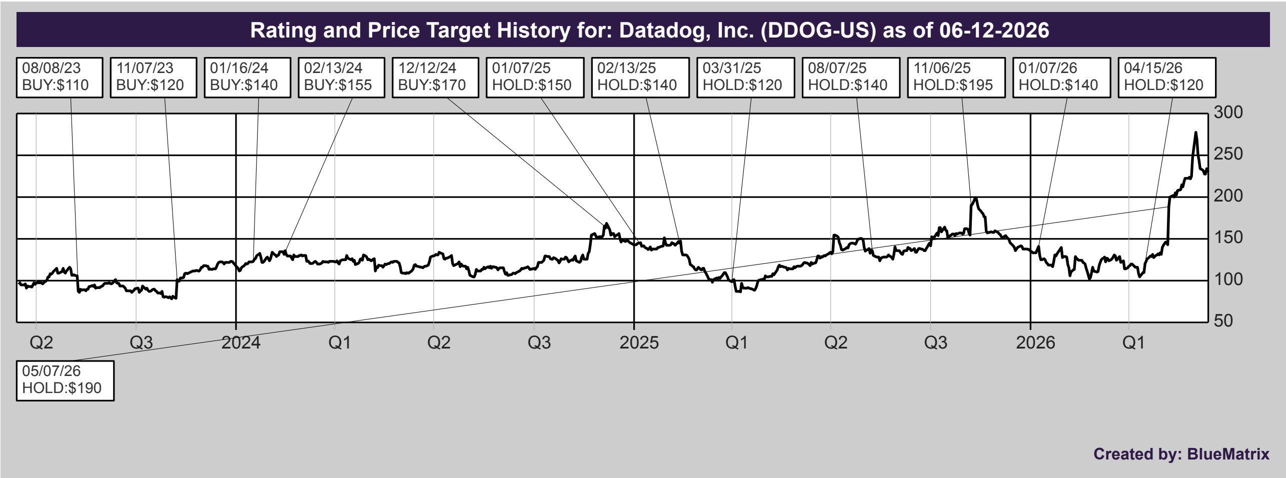

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Sell (S) – the stock's total return is expected to underperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

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